

MONTH-END FINANCIAL CONTROL RECONCILIATION SOP

Standard Operating Procedure | SOP No. SOP-MFC-015 | Version 1.2

SOP Number:	SOP-MFC-015
Version:	1.2
Effective Date:	February 21, 2024
Process Owner:	Richard Parks (EMP-34142) — Senior Manager
Applicable System(s):	Audit Assistant Platform / ERP / Finance System

1. PURPOSE

This SOP defines the standardised process for month-end financial control reconciliation to ensure consistency, control effectiveness, and audit traceability across all business units.

2. PROCESS FLOW

- Step 1:** Finance team reconciles Transaction_Master against Approval_Workflow
- Step 2:** Unmatched or unapproved transactions are flagged for investigation
- Step 3:** Compliance_Record statuses cross-checked against active Contracts
- Step 4:** Exceptions report generated and circulated to department heads
- Step 5:** Sign-off obtained from Controller prior to month-end close

3. ROLES AND RESPONSIBILITIES

Role	Responsibility
Procurement Analyst	Reviews and approves at designated control point
Finance Manager	Initiates and validates process inputs
Internal Auditor	Reviews and approves at designated control point
AP Specialist	Initiates and validates process inputs

4. CONTROLS

This process incorporates the following key controls: (i) system-enforced validation against the Delegation of Authority Policy; (ii) mandatory documentation attachment prior to approval; (iii) periodic exception reporting to Internal Audit; and (iv) quarterly process effectiveness review.

5. EXCEPTION HANDLING

Any deviation from this SOP must be documented with justification and approved by Senior Manager or delegate. Exceptions are logged in the exception register and reviewed monthly by the Risk Committee. Repeated exceptions of the same type will trigger a process redesign review.

6. RELATED DOCUMENTS

This SOP should be read in conjunction with the Delegation of Authority Policy, the Internal Audit Charter, and the relevant functional policy governing this process area.